(Reference Translation)

October 23, 2013

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for Six months ended September 30, 2013 (Japanese standards), unaudited

Company name: Japan Exchange Group, Inc.
Code number: 8697 URL: http://www.jpx.co.jp/en/index.html
Stock Exchange Listings: Tokyo
Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
Contact: Akira Tagaya, Director, Corporate Communications
Scheduled date of filing of quarterly report: November 13, 2013
Scheduled date of start of dividend payment: December 2 , 2013
Preparation of 2Q earnings presentation material: Yes
Holding of 2Q earnings announcement: Yes

1. Consolidated Financial Results for six months ended September 30, 2013
(April 1, 2013 to September 30, 2013)

(Figures less than a million yen are omitted)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Six months ended September 30, 2013	61,723	—	28,202	—	28,917	—	16,550	—
Six months ended September 30, 2012	—	—	—	—	—	—	—	—

(Note)
Comprehensive income:
Six months ended September 30, 2013: ¥ 16,756million /—%
Six months ended September 30, 2012: ¥ — million /—%

	Net income per share	Diluted net income per share
	yen	yen
Six months ended September 30, 2013	60.29	—
Six months ended September 30, 2012	—	—

(2) Financial position

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of September 30, 2013	1,552,275	194,331	12.2
As of March 31, 2013	1,276,386	179,077	13.8

(Reference)
Shareholders' equity:
As of September 30, 2013: ¥ 188,742million As of March 31, 2013: ¥176,529 million

2. Dividends

	Dividend per share				
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual
	yen	yen	yen	yen	yen
Year ended March 31, 2013	—	—	—	80.00	80.00
Year ending March 31, 2014	—	80.00			
Year ending March 31, 2014 (Forecast)			—	16.00	—

(Note) Change in dividend forecasts from the most recent announcement: None
* The year-end dividend forecast for the fiscal year ending March 31, 2014 considers the 5-for-1 stock split which was conducted with an effective date of October 1, 2013. If the stock split is not considered, it will be ¥80.00.

3. Forecast for the Fiscal Year ending March 31, 2014 (April 1, 2013 to March 31, 2014)

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	million yen	%	yen
For Year ending March 31, 2014	105,000	46.4	38,500	96.9	40,000	84.9	22,000	101.1	80.14

(Note)
Change in performance forecasts from the most recent announcement: Yes
* Due to the 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the net income per share of the consolidated earnings forecast for the fiscal year ending March 31, 2014 was calculated based on the average number of shares for the current fiscal year (274,533,132 shares). If the stock split is not considered, the net income per share for the fiscal year ending March 31, 2014 will be ¥400.68.

* Notes

(1) Changes in significant subsidiaries during the period (Changes in specified subsidiaries that caused changes in the scope of consolidation): None

(2) Adoption of peculiar accounting methods for quarterly consolidated financial statements: None

(3) Changes in accounting policies / changes in accounting estimates / restatements
   1) Changes pursuant to revision of accounting policies: None
   2) Changes other than the above: None
   3) Changes in accounting estimates: Yes
   4) Restatements: None

(4) Number of issued shares (common stock)

1) Number of issued shares at the end of the period (including treasury shares):

As of September 30, 2013:	274,534,550shares
As of March 31, 2013:	274,534,550shares

2) Number of treasury shares at the end of period:

As of September 30, 2013:	450shares
As of March 31, 2013:	― shares

3) Average number of shares:

Six months ended September 30, 2013:	274,534,157shares
Six months ended September 30, 2012:	― shares

(Note) Due to the 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the number of shares is calculated as if such stock split was implemented at the beginning of the previous consolidated accounting year.

*Disclosure regarding the execution of the quarterly review process

This release is outside the scope of the external auditor’s quarterly review procedure which is required by “Financial Instruments and Exchange Act”. Therefore, the quarterly review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

*Note to financial position

Clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as JPX group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations. For the consolidated financial position of the JPX group excluding clearing deposit money, etc., please refer to page 5 "1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER, (2) Explanation on Financial Position" of the Appendix.

(Appendix)

Contents of Appendix

1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER

(1) Explanation on Operating Results

Japan Exchange Group, Inc.(hereinafter "JPX") was established on January 1, 2013 through a business combination between Tokyo Stock Exchange Group, Inc. and Osaka Securities Exchange Co., Ltd.(hereinafter "OSE"). Consolidated quarterly financial statements for the previous consolidated cumulative second quarter were not prepared as JPX. As such, comparisons of financial results with those of the previous fiscal year are not available.

The consolidated results of JPX during the consolidated cumulative second quarter (from April 1, 2013 to September 30, 2013) were operating revenue of ¥61,723 million, operating expenses of ¥33,520 million, operating income of ¥28,202 million, and ordinary income of ¥28,917 million.

Due to factors such as recording impairment losses as extraordinary loss in connection with the consolidation of system bases, income before income taxes and minority interests was ¥27,960 million and net income was ¥16,550 million.

<Reference>

	Six months ended September 30, 2012		Six months ended September 30, 2013	
		As of September 30, 2012		As of September 30, 2013
TOPIX	695.51points ～856.05points	737.42points	991.34points ～1,276.03points	1,194.10points
Nikkei 225	¥8,295.63 ～¥10,109.87	¥8,870.16	¥12,003.43 ～¥15,627.26	¥14,455.80
Market capitalization*	244,661.9billion ～298,841.8billion	260,029.5billion	350,135.2billion ～449,173.4billion	425,649.3billion

* Market capitalization of the TSE 1st Section, 2nd Section and Mothers.

(Operating revenue)

1) Trading participant fees

Trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

During the consolidated cumulative second quarter, trading participant fees were ¥29,090 million.

Breakdown of trading participant fees

(millions of yen)

	Six months ended September 30, 2013
Trading participant fees	29,090
Transaction fees	24,529
Cash equities	17,213
Derivatives	7,316
TOPIX futures	1,042
Nikkei 225 futures	2,543
Nikkei 225 options	2,751
10-year JGB futures	841
Others	137
Basic fees	637
Access fees	2,616
Trading system facilities Usage fees	1,248
Others	57

<Reference>

Equities trading value and derivatives trading volume or value

	Daily average			Total		
	Six months ended September 30, 2012	Six months ended September 30, 2013		Six months ended September 30, 2012	Six months ended September 30, 2013	
			Change(%)			Change(%)
【Cash equities】* TSE 1st Section, (¥millions)	1,146,087	2,839,443	147.8	143,260,934	354,930,435	147.8
TSE 2nd Section (¥millions)	4,612	19,700	327.1	576,503	2,462,534	327.1
Mothers (¥millions)	10,568	103,987	884.0	1,320,963	12,998,339	884.0
JASDAQ (¥millions)	17,761	123,528	595.5	2,220,158	15,440,961	595.5
【Derivatives】 TOPIX futures (contracts)	61,899	98,613	59.3	7,737,323	12,326,577	59.3
Nikkei 225 futures (contracts)	76,767	134,251	74.9	9,595,899	16,781,434	74.9
Nikkei 225 mini futures (contracts)	512,799	1,049,818	104.7	64,099,886	131,227,288	104.7
Nikkei 225 options (¥millions)	17,939	46,905	161.5	2,242,385	5,863,072	161.5
10-year JGB futures (contracts)	36,529	35,507	(2.8)	4,566,067	4,438,386	(2.8)

* Figures indicated are the trading value of common stocks in the auction and off-auction trading. Stock trading values of the TSE 1st and 2nd Sections include those of the OSE 1st and 2nd Sections before cash market integration.

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

During the consolidated cumulative second quarter, listing fees were ¥5,697 million.

Breakdown of listing fees

(millions of yen)

	Six months ended September 30, 2013
Listing fees	5,697
Initial/Additional listing fees	2,308
Annual listing fees	3,388

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Six months ended September 30, 2012	Six months ended September 30, 2013		As of September 30, 2012	As of September 30, 2013	
			Change			Change
TSE 1st and 2nd Sections	3	8	5	2,300	2,320	20
Technical listings	2	2	0			
Mothers	9	10	1	179	185	6
Technical listings	0	2	2			
JASDAQ	8	5	(3)	919	887	(32)
Technical listings	0	1	1			
Total	20	23	3	3,398	3,392	(6)
Technical listings	2	5	3			

(Note 1) The number of new listed companies excludes those listed via the TSE or OSE market before cash market integration. The number of total listed companies excludes companies cross-listed on the TSE or OSE market before cash market integration.

(Note 2) The number of new listed companies and total listed companies on the TSE 1st and 2nd Sections include those on the OSE 1st and 2nd Sections before cash market integration.

(Note 3) Technical listings refer to new listings of companies that were established due to mergers and stock transfers, etc.

(Issue)

	New listed issues			Total listed issues		
	Six months ended September 30, 2012	Six months ended September 30, 2013		As of September 30, 2012	As of September 30, 2013	
			Change			Change
ETFs	5	8	3	130	143	13
ETNs	0	5	5	10	19	9
REITs	2	2	0	35	41	6
Technical listings	0	0	0			

(Note 1) Include the number of new and existing listed issues on the OSE markets before cash market integration.

(Note 2) Technical listings refer to new listings of issues that were established due to mergers and stock transfers, etc.

Fund raising by listed companies

(millions of yen)

	Six months ended September 30, 2012	Six months ended September 30, 2013	
			Change (%)
Financing by listed companies	1,452,094	1,431,311	(1.4)

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the consolidated cumulative second quarter, income from information services was ¥7,972 million.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation.

During the consolidated cumulative second quarter, income from securities settlement was ¥10,642 million.

5) Other operating revenue

Other operating revenue consists of " network line usage fees ", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which

allows trading participants to place their devices, etc. within the system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.
During the consolidated cumulative second quarter, other operating revenue was ¥8,321 million.

Breakdown of other operating revenue

(millions of yen)

	Six months ended September 30, 2013
Other operating revenue	8,321
Network line usage fees	1,814
Co-location Usage Fees, Proximity Usage Fees	1,226
Other	5,279

(Operating expenses)
During the consolidated cumulative second quarter, personal expenses were ¥7,354 million.
System maintenance & operation costs consist of maintenance and operation costs for trading system and other systems. During the consolidated cumulative second quarter, system maintenance & operation costs were ¥5,756 million.
During the consolidated cumulative second quarter, depreciation was ¥6,779 million.
During the consolidated cumulative second quarter, other operating expenses were ¥13,629 million.

(2) Explanation on Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives, etc. and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participant security money, and default compensation reserve funds, all of which hedges risks of securities trading based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. are large in amount and fluctuate daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of JPX group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of September 30, 2013 increased ¥275,889 million from the end of the previous fiscal year to ¥1,552,275 million as a result of an increase in clearing deposit money, etc. due to increase in trading, etc. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets decreased by ¥35,204 million from the end of the previous fiscal year to ¥252,344 million due to factors such as a decrease in cash deposits in connection with accelerated repayment of short-term loans pertaining to the takeover bid made for the business combination.

Total liabilities as of September 30, 2013 increased ¥260,634 million from the end of the previous fiscal year to ¥1,357,943 million as a result of an increase in clearing deposit money, etc. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participant security money, liabilities decreased ¥52,135 million from the end of the previous fiscal year to ¥81,114 million due to repayment of loans in ways similar to that for assets.

Total net assets as of September 30, 2013 increased ¥15,254 million from the end of the previous fiscal year to ¥194,331 million as the result of including net income under retained earnings. In addition, after excluding default compensation reserve funds, total net assets were ¥166,383 million.

Japan Government Bond Clearing Corporation, which had been an equity method affiliate, became a consolidated subsidiary through a stock swap with Japan Securities Clearing Corporation effective on September 30, 2013. (After that, the two corporations merged with an effective date of October 1, 2013.) As such, the consolidated balance sheet for the consolidated second quarter accounting period includes assets, liabilities and net assets of Japan Government Bond Clearing Corporation. (Since the corporation is a consolidated subsidiary at the end of the consolidated second quarter accounting period, its financial results are included in the consolidated income statement under equity in earnings of affiliates.)

<Reference>

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of March 31, 2013	1,276,386	179,077	13.8
	*1) 287,548	*2) 151,129	*3) 51.7
As of September 30, 2013	1,552,275	194,331	12.2
	*1)252,344	*2)166,383	*3)63.7

(Notes)

1) Figures marked "*1)" under "Total assets" exclude "Margin funds for derivatives, etc. and when-issued transactions", "Deposits for clearing funds", "Deposits as collateral for facilitating settlement", "Legal guarantee funds", and "Special assets for default compensation reserve funds".

2) Figures marked "*2)" under "Total net assets" exclude "Default compensation reserve funds".

3) Figures marked "*3)" under "Equity capital ratio" are calculated excluding "Margin funds for derivatives, etc. and when-issued transactions", "Deposits for clearing funds", "Deposits as collateral for facilitating settlement", "Legal guarantee funds", and "Special assets for default compensation reserve funds" from total assets, and excluding "Default compensation reserve funds" from total net assets.

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc.

(i) Consolidated Earnings Forecast

JPX revised its consolidated earnings forecast for the current fiscal year for the following reasons.

In light of the recent market conditions, JPX made revisions to the average daily trading values and volumes on an annual basis that were the premise for the consolidated earnings forecast figures in the "Consolidated financial results for three months ended June 30, 2013, unaudited" [Japanese standards] (consolidated) announced on July 30, 2013 (hereinafter "the previous announcement") (change from the previous announcement indicated in parentheses). The revised estimated average daily trading values/volumes are ¥2.45 trillion for stocks (*1) (up ¥150 billion), 29,000 contracts for 10-year JGB futures (down 11,000 contracts), 92,000 contracts for TOPIX futures (up 1,000 contracts), 212,000 contracts for Nikkei 225 futures (*2) (unchanged), and ¥33.5 billion for Nikkei 225 options (down ¥7.5 billion).

The revisions also took into account the effects, etc. of the merger between Japan Government Bond Clearing Corporation and Japan Securities Clearing Corporation.

*1) The trading value of stocks listed on the 1st Section, the 2nd Section, Mothers, JASDAQ, and the TOKYO PRO Market of TSE (including auction and off-auction trading, as well as those of the former 1st and 2nd Sections of OSE).

*2) Includes trading volume of Nikkei 225 futures mini contracts converted to Nikkei 225 futures large-sized contracts.

(ii) Dividend Forecast

There are no revisions to the dividend forecast from the figures in the "Consolidated financial results for three months ended June 30, 2013, unaudited" [Japanese standards] (consolidated) announced on July 30, 2013.

Also, the dividend payout ratio of JPX is targeted at approximately 40% based on our policy of stable and continuous dividend payment, giving due consideration to the importance of system development for enhancing competitiveness and self-regulatory functions as an exchange and also the importance of maintaining internal reserves for provision against risks as a clearing organization.

2. OTHER INFORMATION

(1) Changes in accounting policies / Changes in accounting estimates / Restatements

(i) Changes in accounting estimates

In the consolidated second quarter accounting period, Osaka Securities Exchange Co., Ltd., a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to transition to other systems.

Due to this, operating income, ordinary income, and income before income taxes and minority interests during the consolidated cumulative second quarter decreased ¥167 million respectively in comparison with those calculated by the previous method.

3. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

（millions of yen）

	As of March 31,2013	As of September 30, 2013
Assets		
Current assets		
Cash and deposits	120,808	87,962
Operating accounts receivable	8,716	7,961
Securities	―	202
Work in process	2,467	149
Margin funds for derivatives, etc. and when-issued transactions	789,201	1,023,424
Deposits for clearing funds	161,086	237,908
Deposits as collateral for facilitating settlement	10,000	10,000
Other	3,195	8,934
Allowance for doubtful accounts	(9)	(10)
Total current assets	1,095,466	1,376,532
Noncurrent assets		
Property, plant and equipment	8,673	7,216
Intangible assets		
Goodwill	67,374	65,653
Other	23,370	22,476
Total intangible assets	90,744	88,129
Investments and other assets		
Investment securities	41,304	39,951
Legal guarantee funds	600	649
Special assets for default compensation reserve funds	27,948	27,948
Other	11,825	11,987
Allowance for doubtful accounts	(177)	(140)
Total investments and other assets	81,501	80,396
Total noncurrent assets	180,919	175,742
Total assets	1,276,386	1,552,275

(millions of yen)

	As of March 31,2013	As of September 30, 2013
Liabilities		
Current liabilities		
Operating accounts payable	3,221	2,866
Short-term loans payable	18,670	32,500
Current portion of long-term loans payable	86,399	―
Income taxes payable	6,312	11,709
Provision for bonuses	1,223	1,284
Provision for directors' bonuses	252	12
Margin funds received for derivatives, etc. and when-issued transactions	789,201	1,023,424
Deposits received for clearing funds	161,086	237,908
Deposits received as collateral for facilitating settlement	10,000	10,000
Deposits received as trading participant security money	3,169	4,847
Other	3,620	9,217
Total current liabilities	1,083,157	1,333,769
Noncurrent liabilities		
Long-term loans payable	―	10,000
Provision for retirement benefits	7,580	7,473
Returnable legal guarantee funds	600	649
Other	5,970	6,050
Total noncurrent liabilities	14,151	24,173
Total liabilities	1,097,308	1,357,943
Net assets		
Shareholders' equity		
Capital stock	11,500	11,500
Capital surplus	59,726	59,726
Retained earnings	96,213	108,371
Treasury stock	―	(0)
Total shareholders' equity	167,440	179,597
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	9,088	9,145
Total accumulated other comprehensive income	9,088	9,145
Minority interests	2,548	5,588
Total net assets	179,077	194,331
Total liabilities and net assets	1,276,386	1,552,275

(2) Consolidated Statements of Income
and Consolidated Statements of Comprehensive Income

(Consolidated Statements of Income)

(millions of yen)

	Six months ended September 30, 2013
Operating revenue	
Trading participant fees	29,090
Listing fees	5,697
Income from information services	7,972
Income from securities settlement	10,642
Other	8,321
Total operating revenue	61,723
Operating expenses	
Personal expenses	7,354
System maintenance & operation costs	5,756
Depreciation	6,779
Other	13,629
Total operating expenses	33,520
Operating income	28,202
Non-operating income	
Interest income	183
Dividends income	234
Equity in earnings of affiliates	295
Other	70
Total non-operating income	784
Non-operating expenses	
Interest expenses	57
Other	11
Total non-operating expenses	69
Ordinary income	28,917
Extraordinary loss	
Impairment loss	956
Total extraordinary losses	956
Income before income taxes and minority interests	27,960
Income taxes	11,260
Income before minority interests	16,699
Minority interests in income	149
Net income	16,550

（Consolidated Statements of Comprehensive Income）

（millions of yen）

	Six months ended September 30, 2013
Income before minority interests	16,699
Other comprehensive income	
Valuation difference on available-for-sale securities	56
Share of other comprehensive income of associates accounted for using equity method	0
Total other comprehensive income	56
Comprehensive income	16,756
(Breakdown)	
Comprehensive income attributable to owners of the parent	16,607
Comprehensive income attributable to minority interests	149

(3) Note on Consolidated Financial Statements

(Note on Going-concern Assumption)
Not applicable

(Material changes in shareholders’ equity)
Not applicable